



INTERNATIONAL STRATEGY

SESSION 6

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OUTLINE

- Introduction and learning objectives
- Globalization drivers and challenges
- Entry modes and international expansion strategies
- Global, multidomestic, and transnational strategies
- Managing cultural and institutional differences
- Strategic alliances and joint ventures

LEARNING OBJECTIVES

- Identify drivers and barriers shaping globalization
- Understand motivations and risks of international expansion
- Compare entry modes and their strategic implications
- Distinguish between global, multidomestic, and transnational models
- Analyze cultural and institutional challenges across contexts
- Evaluate role of alliances and JVs in global strategy

INTRODUCTION TO INTERNATIONAL STRATEGY

- International strategy links firms' global activities with long-term goals
- Focuses on how firms compete, expand, and sustain abroad
- Involves choices on where, when, and how to enter markets
- Balances efficiency, risk, and local responsiveness
- Integrates cross-border resources, capabilities, and knowledge
- Sets foundation for value creation in global contexts

WHY INTERNATIONAL STRATEGY MATTERS

- Expanding markets increase growth and competitiveness
- Firms exploit differences in costs, resources, and institutions
- Globalization reshapes industries and business models
- Success requires managing complexity across borders
- Strategy ensures alignment of global operations with objectives
- Enables long-term sustainability in uncertain environments

KEY THEMES IN INTERNATIONAL STRATEGY

- Drivers of globalization and challenges to expansion
- Entry modes: exporting, licensing, alliances, subsidiaries
- Strategic options: international, global, multidomestic, transnational
- Managing cultural and institutional differences effectively
- Forming and sustaining strategic alliances and JVs
- Applying lessons through real-world case examples

GLOBALIZATION DRIVERS & CHALLENGES

GLOBALIZATION

- Integration of markets, production, and capital worldwide
- Fuelled by trade liberalization and technology advancements
- Creates interdependence among economies and firms
- Expands opportunities for cross-border collaboration
- Increases competition from global and local players
- Shapes how firms design and execute international strategies

DRIVERS OF GLOBALIZATION: MARKET FACTORS

- Rising demand in emerging markets expands opportunities
- Convergence of consumer needs and preferences
- Global branding enhances recognition and trust
- Economies of scale achieved by serving larger markets
- Pressure to diversify customer bases across regions
- Access to niche segments beyond home country

DRIVERS OF GLOBALIZATION: COST FACTORS

- Global sourcing reduces production and labour costs
- Economies of scale lower per-unit expenses
- Technological advances reduce transaction costs
- Outsourcing and offshoring optimize efficiency
- Access to cheaper raw materials across geographies
- Intense price competition forces firms to globalize

DRIVERS OF GLOBALIZATION: COMPETITIVE FACTORS

- Rival firms expanding globally push others to follow
- Strategic positioning requires global presence
- First-mover advantages in untapped markets
- Alliances and M&As accelerate international reach
- Need to defend against global entrants at home
- Industry consolidation intensifies global rivalry

GOVERNMENT & INSTITUTIONAL FACTORS

- Trade agreements reduce tariffs and barriers
- Deregulation opens industries to foreign players
- Regional integration fosters cross-border trade
- Investment incentives attract multinational firms
- Harmonization of standards simplifies operations
- World Trade Organization and similar bodies promote open markets

CHALLENGES OF GLOBALIZATION: POLITICAL RISKS

- Government instability threatens investments
- Nationalism and protectionism create barriers
- Regulatory unpredictability raises compliance costs
- Restrictions on Foreign Direct Investment limit entry opportunities
- Trade wars disrupt supply chains and markets
- Sanctions and tariffs increase operating risks

ECONOMIC & FINANCIAL RISKS

- Currency fluctuations impact revenues and costs
- Inflation and recession weaken demand abroad
- Unequal growth between developed and emerging markets
- Global crises (e.g., pandemics) disrupt trade flows
- Rising energy and logistics costs erode margins
- Financial contagion spreads rapidly across borders

CULTURAL & OPERATIONAL RISKS

- Misunderstanding cultural norms weakens competitiveness
- Consumer preferences vary widely across countries
- Difficulties in managing global workforce diversity
- Operational complexity in cross-border supply chains
- Intellectual property protection weaker in some markets
- Adapting products/services raises costs and time-to-market



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ENTRY MODES & INTERNATIONAL EXPANSION STRATEGIES

ENTRY MODES

- Entry mode is the method by which a firm enters foreign markets
- Choice depends on risk, control, cost, and resource commitment
- Balances speed of entry with long-term sustainability
- Options range from low-commitment exporting to high-control subsidiaries
- No single mode fits all industries or markets
- Entry modes evolve as firms gain international experience

EXPORTING

- Simplest and most common entry mode
- Low investment and lower risk than other modes
- Suitable for testing new markets before committing resources
- Dependent on trade policies, tariffs, and logistics costs
- Limited local presence can reduce responsiveness to customers
- Vulnerable to distribution and political disruptions

LICENSING & FRANCHISING

- Licensing allows local firms to use patents/technology
- Franchising replicates proven business models abroad
- Requires lower capital investment than subsidiaries
- Expands rapidly with local partners' resources
- Limited control over quality and brand image
- Risk of knowledge leakage to future competitors

STRATEGIC ALLIANCES & JOINT VENTURES AS ENTRY MODES

- Partnerships share resources, risks, and expertise
- Alliances facilitate faster market access and legitimacy
- Joint ventures create new entities with local partners
- Useful in markets with restrictions on foreign ownership
- Cultural and strategic differences may cause conflict
- Success depends on governance and trust mechanisms

WHOLLY OWNED SUBSIDIARIES

- Provide maximum control over operations and strategy
- Greenfield: building new facilities from scratch
- Acquisition: purchasing established local firms
- Require large resource and capital commitment
- High risk due to political/economic uncertainty
- Offer long-term presence and profit potential

CHOOSING THE RIGHT ENTRY MODE

- Market size and growth potential influence decision
- Political and economic stability shape risk assessment
- Cultural and institutional distance impact mode selection
- Level of control desired affects choice
- Resource availability determines feasibility
- Strategic objectives guide entry mode alignment

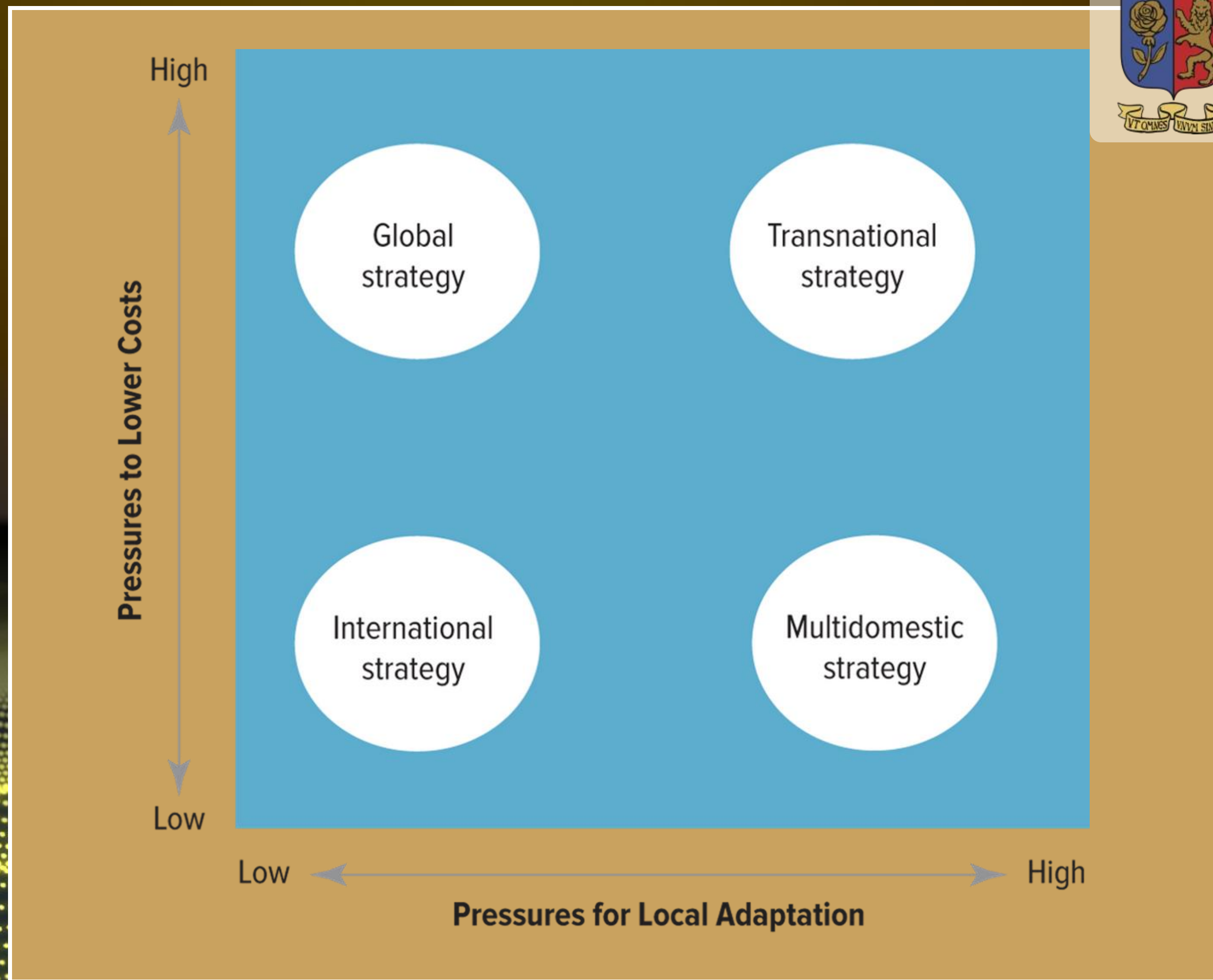
EVOLUTION OF ENTRY STRATEGIES

- Firms often start with exporting or licensing
- Success leads to alliances or joint ventures
- Long-term growth requires wholly owned subsidiaries
- Entry mode may shift as risks and opportunities change
- Learning curve improves decision-making over time
- Firms adapt strategies to competitive and regulatory changes

RISKS IN ENTRY MODE SELECTION

- Overcommitment of resources in uncertain markets
- Misjudging partner reliability in alliances/JVs
- Regulatory shifts altering ownership rules
- Cultural clashes undermining collaborations
- Loss of intellectual property in licensing agreements
- Inflexibility when market conditions evolve

INTERNATIONAL, GLOBAL, MULTIDOMESTIC, AND TRANSNATIONAL STRATEGIES



INTERNATIONAL STRATEGY OPTIONS

- Firms face dual pressures: cost reduction & local adaptation
- Strategic choice depends on balancing these pressures
- Four classic strategies: international, global, multidomestic, transnational
- Each strategy offers unique trade-offs
- No single model fits all industries/contexts
- Strategy evolves as firms expand globally

INTERNATIONAL STRATEGY

- Knowledge and expertise transferred from parent to subsidiaries
- Focus on leveraging home-country strengths abroad
- Low pressure for cost reduction and local adaptation
- Centralized decision-making at headquarters
- Works well for knowledge-based industries
- Less flexible for dynamic local markets

INTERNATIONAL STRATEGY: STRENGTHS

- Leverages parent firm's knowledge and competencies
- Economies of scale in R&D and product design
- Simplifies management with centralized control
- Lower need for product/service customization
- Cost efficiencies from standardization
- Strong brand consistency across countries

INTERNATIONAL STRATEGY: LIMITATIONS

- Weak responsiveness to local market needs
- Overreliance on home-country expertise
- Risk of missing local innovations and trends
- May face resistance from culturally distinct markets
- Difficult to sustain growth in diverse environments
- Limited opportunities for local talent development

GLOBAL STRATEGY

- Focus on cost leadership via worldwide standardization
- Centralized control and decision-making
- Products and processes standardized globally
- Economies of scale are key to competitiveness
- High pressure for cost reduction; low for adaptation
- Common in tech and consumer electronics sectors

GLOBAL STRATEGY: STRENGTHS

- Strong economies of scale and cost efficiency
- Facilitates global brand consistency
- Concentrated R&D and innovation resources
- Easier to transfer best practices across markets
- Quality standards maintained worldwide
- Enhances bargaining power in global supply chains

GLOBAL STRATEGY: LIMITATIONS

- Limited responsiveness to local tastes/preferences
- Risk of overdependence on global facilities
- May face trade barriers and tariffs in some markets
- Vulnerable to supply chain disruptions
- Centralization can slow decision-making
- Cultural insensitivity may reduce acceptance

MULTIDOMESTIC STRATEGY

- Emphasizes local responsiveness and adaptation
- Products/services tailored to each country's needs
- Decentralized decision-making to subsidiaries
- High pressure for adaptation; low for cost reduction
- Strong fit for consumer goods, food, retail
- Local responsiveness fosters legitimacy

MULTIDOMESTIC STRATEGY: STRENGTHS

- High responsiveness to cultural and market needs
- Builds strong customer loyalty in local markets
- Greater flexibility in pricing and marketing
- Detects niche opportunities in specific markets
- Enhances legitimacy with local stakeholders
- Stronger adaptation to regulatory frameworks

TRANSNATIONAL STRATEGY

- Aims to balance efficiency, local responsiveness, and learning
- Combines elements of global and multidomestic models
- Centralize some functions, decentralize others
- Knowledge and innovation flow across borders
- High pressure for both cost reduction and adaptation
- Common in pharmaceuticals, automotive, tech industries

TRANSNATIONAL STRATEGY: STRENGTHS

- Simultaneously achieves efficiency and responsiveness
- Leverages global knowledge and local innovation
- Builds flexibility in structuring operations
- Encourages organizational learning across units
- Locates activities in optimal regions for advantage
- Creates global competitiveness through synergy

TRANSNATIONAL STRATEGY: LIMITATIONS

- Very complex organizational structure required
- Costly to coordinate globally and locally
- Risk of internal conflicts across units
- Difficult to determine which activities to centralize/decentralize
- High managerial demands and cultural challenges
- Success requires advanced global integration systems

MANAGING CULTURAL AND INSTITUTIONAL DIFFERENCES

IMPORTANCE OF MANAGING DIFFERENCES

- Cultural and institutional contexts shape business practices
- Mismanagement leads to failure in foreign markets
- Firms must adapt products, processes, and communication
- Builds trust with stakeholders and consumers
- Enhances legitimacy in host countries
- Essential for sustaining long-term international success

UNDERSTANDING CULTURAL DIFFERENCES

- Culture defines values, norms, and behaviour in societies
- Impacts consumer preferences and purchasing decisions
- Influences negotiation styles and communication
- Shapes leadership, teamwork, and HR practices
- Misinterpretations can lead to costly misunderstandings
- Cultural intelligence (CQ) is a critical managerial skill

FRAMEWORKS FOR CULTURAL ANALYSIS

- Hofstede's dimensions: power distance, individualism, etc.
- Trompenaars' model: universalism vs particularism, etc.
- GLOBE study highlights leadership preferences globally
- High-context vs low-context communication cultures
- Time orientation: monochronic vs polychronic
- Frameworks provide tools for comparative analysis

INSTITUTIONAL DIFFERENCES ACROSS COUNTRIES

- Formal rules: laws, regulations, policies
- Informal norms: traditions, customs, practices
- Emerging markets often have weaker institutions
- Corruption and weak IP protection challenge MNCs
- Regulatory unpredictability increases risk exposure
- Institutions shape competitive and operating environments

STRATEGIES FOR MANAGING DIFFERENCES

- Adaptation: adjust offerings to local cultures/institutions
- Aggregation: exploit similarities across markets
- Arbitrage: leverage differences for cost/innovation gains
- Training programs to build cross-cultural competence
- Partnering with local firms to navigate institutions
- Flexible structures to handle diverse environments

RISKS OF IGNORING DIFFERENCES

- Market entry failures due to misaligned strategies
- Reputational damage from cultural insensitivity
- Legal penalties from non-compliance with regulations
- Ineffective leadership in diverse global teams
- Conflict and mistrust in cross-border partnerships
- Loss of competitive advantage against adaptive rivals

STRATEGIC ALLIANCES AND JOINT VENTURES

ROLE OF STRATEGIC ALLIANCES & JOINT VENTURES

- Alliances are cooperative agreements between firms
- Joint ventures create new entities with shared ownership
- Enable firms to share risks and resources
- Provide faster entry into foreign markets
- Help overcome legal or cultural entry barriers
- Enhance competitiveness through collaboration

MOTIVATIONS FOR ALLIANCES & JVS

- Gain access to new markets and distribution networks
- Share costs of R&D and product development
- Acquire local knowledge and expertise
- Build legitimacy in host markets
- Pool complementary resources and capabilities
- Strengthen global positioning against competitors

BENEFITS OF ALLIANCES & JVS

- Faster market penetration compared to solo entry
- Shared risks reduce financial exposure
- Knowledge transfer between partners
- Greater innovation through combined R&D efforts
- Improved access to local government and institutions
- Flexibility compared to wholly owned subsidiaries

RISKS & CHALLENGES

- Cultural and organizational clashes between partners
- Conflicts over control, decision-making, and profits
- Risk of opportunistic behaviour by local partners
- Unequal resource contributions may cause tensions
- Possible misalignment of long-term strategic goals
- Potential for knowledge leakage to competitors

SUCCESS FACTORS

- Clear strategic alignment and shared vision
- Strong governance structures and contracts
- Transparent communication and conflict resolution systems
- Building trust and mutual respect between partners
- Balanced contributions of resources and expertise
- Ongoing monitoring and adaptation of the alliance

WHEN TO CHOOSE ALLIANCES & JVS

- High market uncertainty requires risk sharing
- Local regulations restrict wholly owned subsidiaries
- Need for rapid entry and local legitimacy
- Complementary strengths create synergy opportunities
- Resource constraints prevent full ownership options
- Alliances as a learning step before deeper commitments

CASE STUDY (TIM HORTONS CHINA)

ENTRY CONTEXT

- Tim Hortons' motivation: saturated domestic market & growth in China.
- Entry year: first store opened in Shanghai, 2019.
- Joint venture with Cartesian Capital (Tims China) used as vehicle.
- Registered capital and scale investment for entering China.
- China's coffee consumption still small but rising; tea culture dominant.
- Competitive landscape: Starbucks, Luckin, etc.

ENTRY MODE & STRUCTURE CHOICES

- Why joint venture was chosen: sharing risk, local partner learnings & networks.
- Alternative modes considered (franchising, wholly owned)? Balance of control vs speed.
- Governance structure: board, decision rights, brand control.
- Master franchising / sub-franchise strategy aspects.
- Real options: pilot to scaling in tier-1 cities to expansion to lower tiers.
- Regulatory constraints and ownership rules shaping entry structure.

LOCALIZATION & ADAPTATION STRATEGIES

- Menu adaptation: tea-based items, localized food, taste preferences.
- Store format & customer experience: decor, digital usage, loyalty programs.
- Digital & delivery channels: super-apps, mini-programs, mobile payments.
- Pricing & value positioning: mid-premium, balancing Canadian heritage vs local affordability.
- Sourcing & supply chain: local sourcing, vendor relationships for freshness/quality.
- Branding/local meaning: Canadian heritage cues, cultural adaptation in marketing.

RISKS, CHALLENGES & MITIGATIONS

- Institutional risks: regulation, permits, food safety, IP protection.
- Cultural distance: consumer preferences, cultural norms, beverage vs tea culture.
- Competitive pressure and differentiation vs established players.
- Operational risk: managing quality across many outlets/franchisees.
- Brand meaning drift if over-localize vs under-adapt.
- Mitigations: joint venture partner with local expertise; strong governance; flexibility; real-time data; pilot projects.

LESSONS LEARNED & STRATEGIC IMPLICATIONS

- Joint venture provides a good middle ground between control and local leverage.
- The importance of balancing global brand identity with meaningful adaptation.
- Real options are valuable: starting in tier-1 allows learning & minimizing risk.
- Digital ecosystem & consumer experience are critical in China.
- Ongoing monitoring (KPIs) of customer retention, store economics, cost control.
- Who to watch: local competitors; regulatory shifts; evolving consumer palate.



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